

Subject Description Form

Subject Code	AF3316
Subject Title	Investments
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Business Finance (AF3313)
Objectives	This subject provides a comprehensive coverage of the basic concepts, theories, applications and decision-making rules for financial investments. While this subject contributes towards the achievement of almost all of the FB BBA Programme learning outcomes, more direct contribution is towards enabling students to (i) have sufficient major-specific skills and knowledge to make an immediate contribution to the workplace, and (ii) facilitated the process of continuous professional development.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Explain the different types of securities and their risk and return profiles. (FB BBA Outcome 14) - Understand the security analysis and portfolio analysis process. (FB BBA Outcome 14) - Plan, manage and review client portfolios according to customer profile and needs in order to recommend and justify appropriate types of savings and investment. (FB BBA Outcome 14) - Demonstrate an ability to recognize, analyze, and deal with global issues relating to investments. (FB BBA Outcome 14) - Understand the challenge and opportunities in applying FinTech in investment management. (FB BBA Outcome 14)
Subject Synopsis/ Indicative Syllabus	The Investment Environment Typical investment instruments; investment process; risk free assets; market indexes and benchmarks; short sales; primary and secondary markets for equities and bonds; investment companies; trading mechanisms; mutual funds, hedge funds, virtual assets, and other investment vehicles; AI pioneers in investment management; Applying AI and Big Data in investments: challenges and opportunities Portfolio Theory Measure of return and risk; risk return trade-off; diversification and portfolio risk; optimal risky portfolios; risk-free lending and borrowing; asset allocation. Asset Pricing Models Capital Asset Pricing Model (CAPM); multi-factor models. Efficient Market Hypothesis

	Theory and empirical evidence in favour of and against market efficiency; limits to arbitrage. Fundamentals of Equity Valuation Fundamental analysis; valuation concepts and methods; valuation models such as dividend discount model; relative valuation such as P/E based models. Fundamentals of Fixed-Income Securities Basic features of debt securities; bond price and yield computation; term structure of interest rates; interest rate risk; duration; immunization; management of fixed income portfolios. Introduction to Derivatives Basic terminology; option payoffs; option strategies; use of derivatives in portfolio management. Performance Evaluation Time-weighted versus dollar-weighted returns; risk adjustment in performance evaluation; common performance measures; performance attribution analysis.																																																											
Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through seminars. This allows direct contact and discussion between instructors and students. Assignments, newspaper articles, and case studies will be used to illustrate the application of the ideas, and to encourage independent learning skills. These discussions would play a critical role in achieving the learning objectives set out for the FB BBA programme. Students are expected to share their views and experiences actively with their instructors and classmates, allowing the students to improve their communication skills.																																																											
Assessment Methods in Alignment with Intended Learning Outcomes	<table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="5"></th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th>e</th></tr> </thead> <tbody> <tr> <td>Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>1. Class Discussion and Participation</td><td>10%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr> <tr> <td>2. Group Project Report and Presentation</td><td>20%</td><td>√</td><td>√</td><td></td><td>√</td><td>√</td></tr> <tr> <td>3. Mid-Term Examination</td><td>20%</td><td>√</td><td>√</td><td></td><td>√</td><td>√</td></tr> <tr> <td>Final Examination</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr> <tr> <td>Total</td><td>100 %</td><td colspan="5"></td></tr> </tbody> </table> To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.	Specific assessment methods/tasks	% weighting						a	b	c	d	e	Continuous Assessment	50%						1. Class Discussion and Participation	10%	√	√	√	√	√	2. Group Project Report and Presentation	20%	√	√		√	√	3. Mid-Term Examination	20%	√	√		√	√	Final Examination	50%	√	√	√	√	√	Total	100 %										
Specific assessment methods/tasks	% weighting																																																											
		a	b	c	d	e																																																						
Continuous Assessment	50%																																																											
1. Class Discussion and Participation	10%	√	√	√	√	√																																																						
2. Group Project Report and Presentation	20%	√	√		√	√																																																						
3. Mid-Term Examination	20%	√	√		√	√																																																						
Final Examination	50%	√	√	√	√	√																																																						
Total	100 %																																																											

Student Study Effort Expected	Class contact:	
	▪ Seminars	39 Hrs.
	Other student study effort:	
	▪ Group work	9 Hrs.
	▪ Individual work	78 Hrs.
	Total student study effort	126 Hrs.
Reading List and References	<i>Recommended Textbook</i> Bodie, Zvi, Alex Kane and Alan J. Marcus, <i>Essentials of Investments</i>, 13th edition, 2024, McGraw-Hill/Irwin, International edition. <i>References</i> Cao, Larry, 2019, AI Pioneers in Investment Management, CFA Institute Research Reports. Malkiel, Burton G., <i>A Random Walk Down Wall Street: The Time-Tested Strategy for Successful Investing</i>, 12th Edition, 2020, W.W. Norton & Company. Reilly, Frank K. and Keith C. Brown, <i>Investment Analysis and Portfolio Management</i>, 11th edition, 2019, Cengage Learning. Topical readings from the financial press about local and international markets.	